



**International Conference Call
Banco do Brasil S/A (BBAS3)
1Q24 Earnings Results Transcription
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Janaína Storti – Head of IR

Good morning everyone, I am Janaína Storti, General Manager of Investor Relations at Banco do Brasil. Welcome to our live broadcast of the results for the first quarter of 2024.

Our event will be in Portuguese with simultaneous translation into English and you can choose between three audio options: Original, Portuguese or English. Present with us are our president, Tarciana Medeiros, our CFO, Geovanne Tobias, and our CRO, Felipe Prince.

Yesterday, at the end of the day, we released the numbers of this result and, along with it, we made available to all of you a video of our CFO commenting on the main components. This was done so that we can optimize our audience's time here a little more, making better use of our space for the question and answer session.

So, considering this new dynamic, I will give the floor to Tarciana to make her initial considerations. Afterwards, Geovanne will give a very brief speech here with the highlights and, afterwards, we will move on to the Q&A. But, before that, you will see a QR Code on the screen throughout our event. This QR Code takes you to a very brief search. There are three questions so that we can collect your perception regarding this new model here in our results video conference.

I would now like to give the floor to our president Tarciana, please.

Tarciana Medeiros – CEO

Good morning to everyone.

BB's purpose is to always be relevant to people's lives and, at this time when we are all in solidarity with the magnitude of the tragedy that is plaguing Rio Grande do Sul, I start this live by saying that the residents of the regions affected by this calamity can, once again, count on the full support of Banco do Brasil.

From the very beginning, just last week, we announced actions to contribute to the recovery of the State and we have updated this package of actions based on the development of several measures throughout our Banco do Brasil conglomerate.



Today, via Fundação Banco do Brasil, we allocated an extra R\$50 million in support of the population of Rio Grande do Sul. This amount is in addition to another 5 million that we had already announced last week and also to the 3 million that we received through our Solidarity Campaign, which continues on air, which is publicized on all our channels.

But I emphasize that our actions go beyond donations in the millions by Banco do Brasil and the conglomerate's companies. They involve humanitarian support in the region, business measures relevant to our clients. We have made credit lines more flexible, increased grace periods, postponed card bill payments, as well as other measures that could help alleviate this moment of pain.

We also implemented a set of initiatives to support our employees who are in impacted cities. We are in direct contact with all 113 impacted employees, providing support and advice to each of them individually and according to their needs. With this, we seek to guarantee welcome and dignity for our colleagues who are going through this difficult time.

We continue to support and closely monitor the situation and will use all our channels, capillarity, whatever is within our power to help the State. We hope that Rio Grande do Sul can begin to rebuild itself as soon as possible, with the support of the entire Brazilian and international society.

Continuing our presentation of the results, I would like to thank all of you for your participation. We are pleased to present the best first quarter in history for the second year in a row. The adjusted net income of R\$9.3 billion in the first quarter of this year represents an increase of 8.8% over the same period in 2023.

I always say that discipline in executing our strategy and our governance model are attributes that generate value for our shareholders and bring returns to society.

Banco do Brasil's corporate strategy reflects its participatory and diverse management model. We bring together representatives of the controlling shareholder, minority shareholders and employees in our deliberative bodies and give them voting power, all aligned with the same objective of building sustainable results.

We are accountable to more than 1 million shareholders, individuals, with whom we have a relationship of total transparency. We understand that the value of our shares does not yet reflect the fact that we are among one of the most profitable banks in the country, which grows its portfolio in a sustainable, responsible manner and has robust capital.



We have been working together with our partners to diversify business generation, as we know that with this we will be increasingly competitive, offering a complete value proposition in different market segments. Fee Income prove this. We ended March with R\$8.3 billion and here the performance of our conglomerate is very important. We encourage innovation in our companies' businesses and I will bring some examples here.

In the case of BB Consórcios, we have an initiative in the market that is Green Consórcios. The strategy provides for ecological compensation with the planting of trees for each quota sold. Green groups encourage the acquisition of green economy goods, such as electric or hybrid vehicles, solar energy, water reuse systems, among others. This initiative has already reached a volume of R\$3.7 billion in quotas sold, which made it possible to plant more than 435 thousand trees.

Another example, BB Asset structured its first shopping mall real estate fund, BB Premium Malls, BBIG11. Launched at B3 last friday, the fund has already established itself as an absolute fundraising success, worth almost R\$1 billion. This initiative reinforces our commitment to offering complete and sophisticated solutions.

We also intensified conversations with Banco Votorantim, focusing on increasing financing for new vehicles. This partnership aims to increase market share in this segment, combining BB's expertise in credit and risk and BV's distribution in vehicle financing.

Another important point that I want to comment on with you is about Cielo. We believe that the delisting will bring relevant conditions for the company to compete and better position itself in terms of quality and the new reality of acquiring and payment methods. And we understand that it will be possible to have an even more complete value proposition for our customers and legal entities, integrating the main relationship through payroll, billing, acquiring, cash, among other products, in a more dynamic, efficient way. and with ever more innovation.

In fact, innovation in business is fundamental and still fuels credit growth. At the end of March this year, our Loan Portfolio Expanded View reached R\$1.138 trillion, with growth of 10.2% over the same period last year. Among the banks, we were the one that showed the highest portfolio growth, with delinquency rates below the financial system average and with a mix between risk and return suitable for our business ambitions.

For 2024, we intend to continue ahead of our competitors in expanding our portfolio, considering our strengths in performance and leadership, such as payroll loans, lines of credit for companies and agribusiness.

Guys, the result we present today brings very significant numbers, such as a NII of R\$25.6 billion, a value 22% higher than that recorded in the first quarter of



last year. This performance shows the relevance of our operations and allows us to have ideal conditions to prepare and deliver the Banco do Brasil of the future today.

We are working so that Banco do Brasil is capable of remodeling itself, adapting and being an agent of transformation in the economy and society that reconfigures itself in an impressive dynamic.

The bank we already want for the future operates in three aspects: The first of these concerns a new way of relating to our customers. We call this innovation Ponto BB, which has no relation to what we know today as a traditional agency. We want to bring the best of the digital experience to our physical locations through the complementary actions of these two worlds at the service of the customer.

We presented this strategy to the market on our BB Day. Some of you accompanied us there and we opened the first BB Point in March this year in Recife in a new technology hub in the Marco Zero region. And look, the initial results of our first Ponto BB in Recife are already very promising. In just two months, since its inauguration, this laboratory of experiences and innovation has already allowed a 20% growth in the acquisition of new customers and more than 43% in credit disbursements of the main lines in which we operate.

Numbers like these give us the certainty that with Ponto BB we will be able to relate even more with local communities and thus be able to offer our products and services from new perspectives in the eyes of our customers. And this is all done efficiently, as we will offer the possibility for partners to host their brands in these spaces, sharing part of the outlet's expenses with us.

We will soon launch BB Points in new locations. With this new form of relationship, there will be an even greater change in the roles and responsibilities of our employees.

And here we enter the second aspect of preparing the bank for the future. We will increasingly train our employees to be financial advisors and agents of transformation in customer relationships.

And the third aspect for BB to remain competitive is data intelligence, which has increased its influence in generating the conglomerate's business. Data intelligence is behind our strategy to offer a bank for each customer, in a hyper-personalized approach, as you, who follow us closely, already know well.

Furthermore, BB's experience in providing robust credit and risk models, added to the exponential amount of transactional information generated historically, has brought opportunities for hyperpersonalization based on the combination of structured and unstructured data.



These actions have boosted the granting of credit with agility, innovation and operational efficiency. This has allowed us to accurately map customers connected in the various production chains, where we identify the link between companies and individuals, enabling the offer of sustainable credit.

We have already implemented the solution for the agricultural customers, with disbursement potential for more than 2.5 million customers.

And, speaking of agriculture, I want to take the opportunity to inform you that our disbursement in the Crop Plan has already exceeded the volume of the last harvest. R\$200 billion were disbursed in just 10 months of the current harvest, which reinforces our strength in agriculture and the partnership with rural clients.

To give you an idea, throughout the entire previous Crop Plan, we had disbursed R\$196.6 billion.

We participated in the main agricultural fairs this year. Since the beginning of the year, we have been present and achieved record business volumes in all of them. Adding it all up, we reached more than R\$13 billion in proposals received at these events.

I also want to remember here that we are the first bank to announce an ESG target in our guidance. Our sustainable credit portfolio reached R\$359 billion in this period, with growth of 9.3% in 12 months, and today represents 1/3 of our total portfolio.

Well, everyone, and to talk a little more about the highlights of our results, I'll now hand the floor over to our CFO, Geovanne Tobias. Soon after, we will open the questions to you. Thank you very much.

Geovanne.

Geovanne Tobias – CFO

Thank you, Tarci. Good morning everyone.

Here quickly, so we can jump to the questions, just to recap, for those who didn't have the opportunity, we had an adjusted net income of R\$9.3 billion, a growth of 8.8%. Our net interest income increased by 21.6%, reaching R\$25.7 billion.

Fee income growing 2.6%. Our guidance is between 4 and 8, but we believe that we will be able to deliver these service revenues at that level. Administrative expenses under control, R\$8.9 billion, growth of 4.9% in 12 months.



Our loan portfolio expanded view grew 10%, in line with our guidance. NPL+90 days is also under control, already starting to show stabilization at 2.9%. And our cost-to-income ratio is 25.9%. And finally, even with a payout of 45%, we reached a main capital ratio of 11.9%, which rose from the level of 12.12% in the previous quarter.

Before opening the questions, it is important to remember that in this adjusted net income, we made two moves that many analysts are questioning and, anticipating the Q&A, one of them concerns an incentivized self-regularization of taxes.

In November, Law 14,740 was instituted to allow companies, as a whole, to carry out this self-regulation. This was regulated by the Federal Revenue, by Normative Instruction 2,168, of December 28, 2023. Within an already routine check, we had envisaged, when calculating the profits of our external branches, mainly Banco Patagonia, we were considering profits that the Brazilian accounting does not allow this, especially when it comes to hyperinflationary economies.

As a result, we already saw the need to make a correction to the tax calculation basis that was collected in previous periods. We made larger and smaller payments and with the establishment of this self-regularization program, we then had the opportunity to take and offer the adjustment within this program. It would normally be done within a, so to speak, spontaneous complaint, so we had the opportunity to join the program. As a result, we were also honored with no fines being charged, every time you have to make some adjustment to the past, regarding tax collection, and this generated a gain for Banco do Brasil.

As a result, the administration decided, even to maintain coherence, because our tax rate with this gain would go to 6%, and, in reality, we know that this is not a recurring tax rate. So, we decided to anticipate a movement by a specific company, a specific case, which was already in an old judicial recovery. This recovery had already been treated previously, including as an extraordinary event, but it was provisioned within our expectation of recoverability for this asset.

This asset, including in the telecommunications sector, recently began to raise questions, there were changes in governance and this even raised serious doubts in this case, taking into account, in an extraordinary way, this judicial recovery that was being carried out for a long time. For a long time, it once again entered into a second judicial recovery, that is, a judicial recovery of the judicial recovery.

In view of this and considering this opportunity to adhere to self-regularization, with this gain from correcting taxes that had been overpaid in previous periods, management then decided to end and completely impair this exposure, this problematic asset that was in old judicial recovery.



Hence the fact that we treated the two events as non-recurring, to allow comparability, a better projection of what Banco do Brasil's results are effectively what we are producing and delivering to our shareholders.

Having said that, I would like to give the floor to Janaína so we can start the question and answer session.

Question and Answer Session

Janaína Storti – Head of IR

Thank you, Geovanne. Well, I'm going to start our question and answer session.

They can be done in both Portuguese and English and you have a button on the screen to raise your hand to ask the questions.

I'm going to ask you to ask one question at a time, one question for each analyst, so that we can have the opportunity to bring everyone here to the debate table, as we already have a large list of people here.

And, to begin with, I'm going to call the first analyst here, who is Renato Meloni, from Autonomous.

Renato Meloni – Autonomous

The new format is very good. Very pragmatic.

My question is in relation to Banco Patagonia. In relation to the first quarter, I wanted to understand the dynamics of the result a little because the treasury result compared to last year rose 5% while commercial funding expenses fell 30%. So, I wanted to understand what were the factors that influenced this.

Next, what are your expectations for Patagonia's contribution over the next quarters of this year? Thanks.

Geovanne Tobias – CFO

When we look at our NII – Renato, right? Thanks for the question! –, you clearly see a growth of 21.6%, in the year view, reaching R\$25.734 billion. When we exclude the Patagonia effect, this NII would continue to show, in the annual view, a growth of 20%, reaching R\$23.676 billion and 6.5% in the quarterly view.

What happens with Banco Patagonia, there is a direct effect from Max. When we consolidated Patagonia's results in the fourth quarter, when doing the



consolidation, we used the official average exchange rate for the period of that quarter.

And remember that Max happened at the end of 2023. When I brought Patagonia's results now in the first quarter of 2024, the real consolidation took into account the average exchange rate for the first quarter of 2024, which is already fully impacted by Max.

So, the result fell, basically it has a reduction of 1 billion, so it is contributing around 2 billion to my NII. Our expectation is to continue with the guidance we set, a growth close to 11% for NII, and we recognize that this 20% growth, in some way, tends to move forward as you have a readjustment indicators and TMS throughout the year.

So, we don't have a big concern. Quite the opposite, especially because in this case, when you now look at Patagonia's result in pesos, it is being quite favorable because, until then, last year, you had a cap, for example, which forced you to remunerate the funding.

It is a very liquid bank, which has a very large source of funding in the market, it has a network, it is a network bank, there is very little exposure to credit. And with the new measures from the Argentine government, you were able to reprice this funding cost, even improving Patagonia's results.

So, somehow, when we made that forecast, we had ceteris paribus conditions, of course, the Max issue had an impact on consolidation, but we believe that it is part of our business, it is a linked company, it is a business that is generating results, but, if you look at our NII ex-Patagonia, it continues to show growth and growth of 20% in the year view and 6.5% in the quarter view.

So, this is the result of our structure of assets and liabilities. The repricing of our funding cost here was faster than the actual repricing of my asset portfolio, mainly credit operations.

Of course, on the active side I also suffer a drop in TVM revenues due to the drop in TMS. But nothing outside of what we are estimating.

Tarciana Medeiros – CEO

Geovanne, it is also important to highlight that Banco Patagonia is a bank that, like Banco do Brasil's corporate strategy, seeks new sources of revenue. It is a bank present in all provinces in Argentina and managed by Banco do Brasil.

The Board of Banco Patagonia is a Banco do Brasil Board. They are colleagues from Banco do Brasil who manage there.



Even the CEO has 40 years of experience in the financial market and has been through all the economic hardships that our country has also experienced. So, we are talking about a very well managed operation.

I think it's important that we also emphasize this point when we talk about Patagonia.

Geovanne Tobias – CFO

Thank you, Tarci.

Janaína Storti – Head of IR

And if I can also add, guys, when we brought our guidance, we already considered a reduction in Banco de Patagonia's contribution. This reduction was a little smaller than what we expected, given the elements that Geovanne brought here, the issue of deposits, the greater volume, and we will continue to monitor this situation.

We know that in Argentina we still see a bit of volatility in the market and we will continue monitoring so that we can understand this dynamic over the next few quarters.

Janaína Storti – Head of IR

Thank you, Renato.

For the next question, I will bring Daniel Vaz, from Safra. Please, Daniel.

Daniel Vaz – Safra

Thank you, good morning, everyone, good morning Tarciana, Geovanne, Prince, Jana too. My question is about ALLL. I think that in the annual horizon, for you to deliver your guidance of up to 30 billion, the recurring level should return to an average of 7 billion per quarter.

We see there that the NPL creation, your new NPL composition is running close to 9.5, so I wanted to understand which sectors here or which segments do you expect a decompression of risk there in the part of the new NPL, be it individuals, corporate, agribusiness.

We know that agriculture is running a little higher in this first quarter, should it converge to a lower level and companies too? Can you elaborate a little more on this corporate revolution?

Felipe Prince – CRO

You answered part of your question yourself. What we saw in the first quarter, in addition to obviously the complete stabilization of that risk management



process that we had started on the individual portfolio, so I think that now the provision for the individual portfolio is normalized, in line with the generation of results that we look for this market. We started to come under a little more pressure in the first quarter due to corporate credit.

So, you followed, we had some cases of clients entering the judicial or extrajudicial recovery process and, in addition, the micro and small business market is challenging for the entire market, even a little tail effect of the individuals default, which, when it stabilizes, there is obviously less credit in the market for individuals and this impacts consumption, especially in micro and small companies.

In relation to agribusiness, it is still mainly the effect of costing operations in stockpiled producers waiting for an improvement in the sales prices of their products.

What happens? These funding operations need to be settled by the end of this harvest so that these producers can qualify for new financing in the subsequent harvest.

So, we have worked very strongly with these producers to obtain the regularization of these operations and with that, obviously, dampen this flow of provision that came from agribusiness in the first quarter.

So, there is no magic here, we will seek and deliver convergence in the guidance, optimizing the issue of provisions in companies. It is also worth noting that a third of the SME business portfolio is linked to risk mitigators from government programs, so you have the cost of default, you have the cost of provision, but then, when the operation has been honored, this provision cost ends up being reversed.

So, there are no wholesale cases on our radar anymore. Micro and small companies, in addition to a risk management process, the honor of guaranteed operations, and agribusiness this intensification in the regularization of costing operations, so that we can even create another beautiful harvest plan in 2024-25.

It is these three components that we are working hard to make the ALLL converge, obviously we are working between the medium end and high end for 2024.

Daniel Vaz – Safra

Super clear. If I can do a follow-up, Prince?

The part of those government programs – I think there is an echo sound in my voice, sorry – the part of Pronampe and other programs that you have the honor of, followed by your default, there is some window, some specific



month, some quarter Do you specifically expect this to happen this year with more concentration?

Felipe Prince – CRO

The program during the pandemic presented tranches and afterward it was continuous in 2023. Therefore, we have one tranche concentrated for July 2024 because of the pandemic, but then the operations will go normally, and I will show you how the mechanism works.

Our operations have to expect 180 days of maturity to submit it to the honor of the guarantee fund that, inclusive, is also managed by Banco do Brasil.

Janaína Storti – Head of IR

Thank you. Our next question from Flávio Yoshida from Bank of America.

Flávio Yoshida – Bank of America

Good morning to everyone. Thank you for taking my questions. My question here is regarding the risk appetite that you have. I would like to know how it has changed regarding your guidance. We can see the economy is doing fine, unemployment controlled, but the interest rate will not drop as we expected, so I would like to know how your risk appetite has changed from then till now.

We know that your individual portfolio is more or less 40%, and this is different amongst different banks. There are banks that have more or less appetite to risk, and this is connected to the interest rate. I would like to know how you're addressing these variables regarding payroll loans.

Geovanne Tobias – CFO

Yoshida, thank you very much for your question. Our strategy is clear, we are extremely disciplined when it comes to implementing the strategy. The growth driver of our individuals is payroll loans. And a point that we would focus on, we were going to go after the group was fair because of the size of Banco do Brasil. Like, for example, the retirees' payroll customers. We've grown this 16% in 12 months.

Another area would be private payroll customers. We were able to broaden, like, the base effect helps us in this rate, but this represents over 40% of growth. Our appetite when we see individual is driven towards a less risky segment. Of course, the spread is lower than installments with interest rate. This would be a marginal spread, but we are looking for principality and we want to maintain the engagement of this customer to us because we want a sustainable growth of results.



So we do continue focus on our payroll clients. They are retirees and we are after payroll clients, we're after the strategy. We're strong with it.

Now, regarding agro, it's the heart of our activity. Agro, it continues and there are measures that we will announce, and we are analyzing involving the agro industry in Rio Grande do Sul.

Now, regarding now companies we've realized a resumption of the capital market, so we expect in that specific case to see a stronger activity in the capital market. Our loan expansion guidance continues, we had a growth for individuals and for companies in the lower end, we believe that we will bring this to the middle of the range and agribusiness will be the high end.

So we do not have visibility what 24-25 crop plan is going to be like. But we are paying attention, as Tarci said.

What do you like to state?

Tarciana Medeiros – CEO

That granting credit is believing in people.

Geovanne Tobias – CFO

That's it!

Tarciana Medeiros – CEO

And we only believe in who we know

Geovanne Tobias – CFO

Exactly! So this is how Banco do Brasil is going to act and perform.

Prince, if you could say something else.

Felipe Prince – CRO

I think that just to complement, Geovanne, we have a strategy of balancing the mix, so clearly we have also paid attention to portfolios that provide a higher NII, so there is the example of credit cards, there is the example of non-consigned credit, but what we have developed here internally, we have used a lot of technology to make this portfolio also healthy and effectively deliver robust NII, is to act in production chains.

So, we have been trying to identify the locomotives, a clear example and Tarci brought it here in her speech, is the agribusiness chain, where we work on the analysis of transactional data from these customers, from the locomotives to



the small rural producer, and we identify all individuals and legal entities that transact within this production chain.

We recognize there, for example, recurring transactions that indicate that there is effectively a very strong interconnection between these links and then we have leveraged the granting of credit, whether for large and small companies, but also here with a focus on personal credit, so that we always have this balanced mix, maximizing the risk-return relationship of our portfolio.

Tarciana Medeiros – CEO

And only on this first value chain, we have over 2.5 million customers that we have identified, and we will focus on them in the upcoming quarters.

Felipe Prince – CRO

A government strategy that is ready, that we launched in the beginning of April, we underwent the same process. With a higher pay of the public system, we can map all these transactions and then we mix this together with our traditional models and this actually provides us a sound response of market niches that we have to tackle.

Janaína Storti – Head of IR

And Flávio, the last point of your question, you asked about the cap, our cap for payroll. Well, here we have the pensioners' portfolio, and as we have a value proposition integrated to this customer, we have a cost structure that is different. We do not work with the common cost in this type of markets. And at the same time, we have a diversified funding base.

With this, we have a differentiated cost structure. We can continue growing and pursuing our target to grow in this portfolio under very favorable conditions for us, even when we think about competitiveness to continue growing. This is something that we focused on when we talked about growth.

Geovanne Tobias – CFO

We also grew a lot in terms of payroll loan portability to Banco do Brasil, people changing to our bank.

Janaína Storti – Head of IR

Thank you, Flavio.

Our next question, Jorge Curi, from Morgan Stanley.

**Jorge Kuri – Morgan Stanley**

No, thank you. I definitely am going to make it in English, but thanks for the opportunity to ask questions. I wanted to *ask about the* NII with market. Can you maybe disaggregate *and* make it up and what relative to, in an absolute basis as well as on a relative basis relative to your total NII? Thank you.

Janaína Storti – Head of IR

Okay, I think people who are listening to the video missed your question. So, basically, he is asking us about the composition of market NII, what we have there and what are the elements that influence the growth of this metric within what we disclosed, I mean we have client NII and market NII.

So, Jorge, when we bring market NII, Patagonia is an important element there, in this quarter specifically it added R\$2 billion, but we have other important elements there as well.

So, just to detail it to you, we have the private securities and compromised operations, we have the portfolio, derivatives, exchange rate, our working capital also is included in this line, and our institutional funding expenses.

So, what we see? If you look at this quarter specifically, we had significant growth even with the reduction of Banco Patagonia's contribution. So that comes from our commercial activities, our business, and that is where we see we will continue to grow. So, that is an important item for us to mention. And of course, when we open, there is a series of lines and elements that affect that line. So, we brought this breakdown of client NII and market NII to make it easier to compare between peers.

Of course, not everybody classifies things the same way, but that is why we always tell you to look at our NII in a consolidated way, because there you are able to see precisely the results of my credit and how I am growing in the revenues, you can see the effect of funding cost going down, that is another important element in our NII dynamics, you can see the treasury results and, as we have been telling you considering the SELIC rate effect, we see that it is settling at a lower level for that line.

But in the overall condition, our NII performance continues very strong and to accommodate this soft landing within the guidance that we provide for the closing of the year.



Geovanne Tobias – CFO

And just to finish, looking at the margin, Janaína, we still continue with our estimate, as the SELIC – of course as announced yesterday a reduction of just 25 points, so the market itself no longer works with a single-digit SELIC by the end of the year, quite the opposite, closer to 10 to 11 – but for every 100 bps of NII reduction... in the SELIC, sorry, in the TMS, we estimate around of R\$100 million reduction in our ex-Patagonia financial margin. It's important to put this out there.

Patagonia, the way we separate the NII with customers and market, Patagonia is all concentrated there. So, you exclude the 2 billion that Janaína put in, you see our NII with the market, that range of 3.

Janaína Storti – Head of IR

Thank you. Now our next question, Anahy Rios, from Santander.

Anahy Rios – Santander

Hi everyone, good morning. Thank you for the space to ask questions. My question is about expenses. You reached the lowest level of efficiency in the historical series and Tarciana commented on this Ponto BB strategy, which I imagine ends up being more efficient than an agency.

So, my question is how do you expect expenses to behave going forward, whether they should converge to the guidance, perhaps to the lower end, and whether the cost-to-income ratio has reached its minimum or do you still see room for improvement? Thanks.

Tarciana Medeiros – CEO

I'm going to talk a little bit about Ponto BB. The Ponto BB strategy is a strategy that we are working on to bring the best of both worlds to the customer. Banco do Brasil is a bank with capital in a continental country, we have 93% of municipalities with a physical presence of Banco do Brasil, we have the best rated app in the financial system, a BB shopping center in full growth and several digital products in that we have a differentiated offer for the customer.

So, one of our expectations with Ponto BB is to have a diversified branch, just as our conglomerate is diversified. So, we will have the possibility of, literally, having partner counters within our agencies, and this certainly tends to reduce the fixed operational cost of physical points, with an increase in revenue from digital, with an increase in revenue also for conglomerate companies.



So, Ponto BB's strategy today, the first one we installed in Recife, is a big laboratory, a big innovation laboratory. We are learning a lot about what the customer's demands are, how they demand physically and digitally, how we can also combine human service remotely, we have service booths and with this, lower costs also in the allocation of the employee network and more efficiency in this allocation of people to the service of people, and we are also testing some technological innovations, such as, for example, printing the card when the customer arrives at the branch and the customer self-services and leaves with their card already there, we already acquire a customer online.

So, this Ponto BB strategy, we understand as a strategy that we are able to diversify even to other audiences with specific profiles, such as, for example, Pontos BBs for SMEs, Pontos BBs for agribusiness. We are studying and soon you will have more numbers regarding point efficiency, gains from point efficiency.

Geovanne Tobias – CFO

Yes, one thing I really like about this idea, without a doubt it is a paradigm shift. And then, Anaí, it's as if you arrived at what is a traditional bank branch and suddenly you see a space that might remind you of an Apple Store.

You have the relationship there and then we have the resignification of positions. The issue of cash, cash, becomes an almost secondary point, especially because the digitalization of our economy, the Pix event, has increasingly required less, for example, this cash function.

And then we can reorder functions and people, what we call reskilling, changing the skills of these people and transforming that point not only into a banking relationship point, but also eventually a point where you have lectures, where you have cultural events, where you may be looking for an online purchase.

We are even studying this, forming partnerships, you already see this in the United States, because the physical point is there. How can I generate more revenue from that and reduce fixed costs?

And then, going directly to the question of expenses that you raised, what we have noticed, without a doubt, looking at the 24th, it is important for you to have on your radar that in September comes the negotiation of the category, Banco do Brasil together with the other banks will be there negotiating the salary adjustment for the category, this will probably impact administrative expenses and we are also committed, even from this perspective, to increasingly re-signify the banking relationship of customers with us, we need to expand, modernize and innovate in the technology park.



So, the cloud issue is another point. We already operate in the cloud in several applications. Private cloud, we are also expanding to public clouds, we are developing partnerships, looking for partners to plug into our systems via API, increasingly the Banco do Brasil Super App, today you have a Shopping BB, you have N other functions that are offered there and which can eventually be started in that physical environment or completed in that physical environment according to the customer's taste.

What matters is that the customer is increasingly engaged with Banco do Brasil on its different platforms, and that is why the concept of phygital.

Tarciana Medeiros – CEO

Geovanne, you brought up a point that is very interesting, I think, and that makes a very good analogy. Our Super App already has shared development, that is, the companies, the products that we offer in our Super App – I'll give you an example, insurance, for example –, the development to be in the Super App of Banco do Brasil, the cost is shared with the company that is part of the conglomerate.

So, capitalization, so that we can offer capitalization in our Super App, the capitalization company shares with us the costs of being in our Super App. This analogy with Ponto BB is interesting, because in the Super App, for example, today we already have an estimate of a reduction of around 35% in costs with shared development.

If we take it in a similar way to the point, we already have a reduction there of around 25% to 35% due to sharing the space. I think the analogy with the Super App is very interesting to see, Geovanne.

Geovanne Tobias – CFO

Yes, and we believe that we will continue focused on improving efficiency, delivering 6% to 10% increase in administrative expenses and always, whenever we have an opportunity, whatever we can do more with less, it is more efficiency, more results to everyone in Banco do Brasil.

Janaína Storti – Head of IR

Thank you, Anahy. Our next question comes from Bernardo Guttmann, from XP Bank. Bernardo, can you hear us? You can pose your question. I think that probably he was disconnected.

We have another name here. The next question from Tito Labarta, from Goldman Sachs. Tito, you may go.



Tito Labarta – Goldman Sachs

Hi. Good morning, everyone. Thank you for the call and taking my question. A follow-up on your NII, specifically your financial expenses. If you look at the commercial funding expenses, were down like 12% on the quarter. If you look at time deposit expenses, were down almost 30% on the quarter. I know you have lower rates in Brazil, but if you look at time deposits, we're actually up around 3% on the quarter.

So just to understand what drove that sharp decline in the financial expenses in the quarter, and do you expect this to continue as rates come down in Brazil, or was there anything else impacting that line there? Thank you.

Geovanne Tobias – CFO

Hi, Tito, thank you for the question. We expect a drop, mainly because 80% of financing is floating rates. If there is a drop, should you expect a drop in fundraising spending? There was a change in agricultural credit letters, in the LCA. Customers had a three-month blocking period to access this investment, and, according to the law, it increased by nine months. So there has been a specific shift here in our branches to create customers to keep their money with us and going into deposits and also floating rate funds. This helped us reduce our expenses. Do you want to add anything Janaina?

Janaína Storti – Head of IR

No, I think these are the main elements, the floating side of our funding being impacted by the drop of our SELIC. A part of the savings account payout that has a positive contribution here.

Now when we analyze funding expenses in a consolidated fashion, there is a part of the Patagonia Bank, reminding you of our vision, there is an effect, but I believe that this change, this drop is more organic within the multiple NII context.

Tito Labarta – Goldman Sachs

Thank you.

Janaína Storti – Head of IR

Our next question from Yuri Fernandes from JP Morgan.

Yuri Fernandes – JP Morgan

Thank you, Janaína. Good morning guys. Congratulations on the new format, I think it's much more dynamic, really cool.



I wanted to ask about your fees, rates and commissions. It is running a little below the guidance, it is running at 2.6, I think the low point is 4, but when we look at the dynamics there, there are some lines that are very weak. Credit cards, like credit and debit cards, we know are seasonal, we know that for you it is a little different due to the structure of the bank with Cielo and other moving parts of [incomprehensible], but it is falling a lot.

I would like to understand from you, first, the confidence in the guidance for fees, what will make the fee line converge to the guidance, where are you perhaps seeing the surprises from?

And just a follow-up on the credit card issue, if you could explain a little bit what is happening there. I imagine there is a new product from your Ourocard that could perhaps influence, I don't know if there are more card inventions. So, just to understand a little bit this dynamics of tariffs and revenues. Thank you guys.

Geovanne Tobias – CFO

Thank you, Yuri. Without a doubt, I think this is the most challenging line that banks, especially incumbent banks today, are facing. And the credit card segment, payment methods in general, is without a doubt one of the things where we have spent the most time looking for mechanisms to recover this level.

You have a regulatory asymmetry, which also makes it difficult for us to present high growth, but specifically in relation to this growth when looking at the year of 2.6%, if I neutralized the effect by looking at tariffs, specifically Brazil ex-Patagonia, I would be there with growth at the low end of the guidance, around 4%.

And what we have to discuss is where we can resume growth in this line specifically. Without a doubt, improving customer engagement. We have managed to grow a lot in fund management, fund management, you saw almost 6% expansion there, as a result of the growth of asset under management, even the issue of LCA, for example, also allowed us to channel part of the resources that went out of LCA due to the increase in the need for funds, for example.

We have grown well in insurance, pensions and capitalization, we are able to grow even more in this line. And particularly in relation to cards, we have been looking for other alternatives to encourage use, the best way is to increase volume. We have even managed to improve this, improving offers, being more active, and giving a clear example of a recent thing that we changed, the use of our Ourocard credit card for international purchases.

We are encouraging our customers, as we are returning, offsetting, so to speak, the difference in the IOF rate between a remittance for one of these,



like a Wise of life, we guarantee to our customers, “use the Ourocard card internationally, release it, enable it for use abroad”, we will be returning the IOF part, leveling it to what would be an IOF that he would pay in a normal exchange rate purchase. And, in addition, he will even score Livelu points for paying his invoice. And as he returns from abroad, if he wants, he can even pay in installments for his purchase as well.

So, it is a specific example of actions that we are taking to use and increase the use of the card with the aim of increasing its contribution to fees.

Another point that I think draws attention, which will help a lot in meeting this guidance, are the tariffs coming from the capital markets. We have already noticed a growth in this line. Without a doubt, as the capital market reopens, companies will seek debentures, CRIs, CRAs and other securities, and Banco do Brasil even reactivated our Organic BI, in addition to the partnership with UBS, at UBS BB, we also have our Organic BI to capture this growth in company emissions in the Brazilian capital market, and this also tends to bring a greater reinforcement of tariffs throughout 24.

That's why we remain confident with this guidance, okay?

Tarciana Medeiros – CEO

Geovanne, I would add to this our strategy in seeking customer priority. I would say that the card strategy, the card fee, is part of a larger strategy, which is the search for the customer's main focus.

So, when Geovanne says that we will have different sources of fee revenue – and we really believe in fulfilling this guidance –, the 2.6 on the card does not necessarily reflect a lack of fee growth in this line, but it will be reflected in an overall increase in profitability and the customer's principality with the bank.

So, the card is an instrument that has become, due to market dynamics and legal asymmetries, a product that is, indeed, one of the main ones in the search for customer loyalty. We have been working, inserting the card into this larger strategy.

Felipe Prince – CRO

Finally, Tarci, I think it's worth mentioning, Yuri, that the positive reading also adds another question. We are at the end, we are practically finishing the process of debugging the risk of a digitally generated credit card portfolio and, as you have seen over the last two years, it was quite offensive in terms of risk to our results.

So, it's not just the 2.6 there. We managed to replace this balance and this fee that came from a non-sustainable card with a product where we will effectively be able to earn money for a long time given the selectivity of these customers who currently make up this portfolio.



Janaína Storti – Head of IR

I think this point is important – just following up here with what Prince said – because our credit card balance growth in recent periods was very much based on this growth more qualified by the customer profile. And this, together with the measures we adopted throughout the year, allowed us to reduce defaults. Today we closed the quarter with 7.15.

So, I think it is a convergence here of multiple factors within the credit card field and the proposal that we bring to have a single card, that our customers use the card for everything they can, need, imagine, bringing the benefits he has and also benefiting from the relationship he has with us.

So, in this line, we mainly have revenue from annuity and we implemented a new program over the last quarter that, in an automated way, brings and translates this relationship into an annuity discount, also the relationship that the customer has with us in terms of investment. So, this is done in an automated way so that we can conquer and increasingly have this principality that we seek so much here.

Yuri Fernandes – JP Morgan

Great, thank you.

Janaína Storti – Head of IR

Thank you, Yuri. Our next question, Pedro Leduc, Itaú.

Pedro Leduc – Itaú

Hello everyone, thank you very much for the opportunity to ask the question. It goes in the direction of NII.

The year started at a high pace, almost 26 billion, and the market margin trajectory was already mentioned a little. I would like to explore the margin aspect with customers a little more, which here, even according to the trajectory of the portfolio mix vis-à-vis the guidance and the first quarter, it seems that it will grow more in Individuals, or should accelerate more in companies and with mix contributing well, funding falling, spreads seem healthy.

Just like Geovanne helped us understand the ALL trajectory a little, I wanted to understand the NII part a little, you can think about it more in the mid/upper end of the guidance in this trajectory. Thanks.

Geovanne Tobias – CFO

It is important to keep in mind that an important part of this result, when you look at it, especially coming from credit operations, we still come from the



individual portfolio. What we noticed in this first quarter is that, in reality, there was a mix adjustment, we can see a faster repricing of our liabilities than of our assets, but we had an increase in the portfolio balance of agro and it is almost comparable to a portfolio for large companies, it is almost a floating rate too. So, you see a bit of a drop due to the nature of this agricultural portfolio.

In relation to institutional funding, you see growth basically due to financial letters. We announced the repurchase of our perpetual from July, we reset the perpetual that expires now in April and we are, even to protect our level 1 capital, issuing bills here in Brazil.

So, looking at the financial margin, those assets that are invested in the treasury, they are floating, there they are repriced faster. But as we have more than 80% of our funding also in floating rates, I think this is well protected within our ALM structure. And as we are repricing this portfolio more slowly, we will be able to maintain our spread, our margin in a protected manner. You see that it is above the 8% level, which we consider to be a very healthy level. And I don't know if, Janaína, you would like to add any comments on this issue?

Janaína Storti – Head of IR

No, I think these are the main points, Pedro. When we look, you asked about the guidance compliance range, we see this convergence happening, this soft landing, given all these movements that Geovanne mentioned, the reduction in the funding part, we have the margin of liabilities a little more pressured also within the treasury given the SELIC issue, but, at the same time, we have been growing the portfolio, repricing the portfolio, and this tends to gain more relevance as the year progresses.

So, this makes us very comfortable for this range that we brought to you and for this soft landing here throughout the year.

Thanks. Well, I'm going to move on to our next question, heading towards the end, we have two more.

The next one comes from Nicholas Riva of Bank of America.

Nicholas Riva – Bank of America

Hi Janaína, thank you very much. Hi, Tarciana, Geovanne, Prince.

I saw that Geovanne was mentioning one of the super enablers, the highest coupons, but you also said that you would have that in June, about the (audio glitch) so, your capital would go to that value, a capital level of 81, which you would be comfortable with, “1.40% of AT1”, is what Geovanne mentioned in the last call. Would you have a preference for issuing this type of capital in the domestic market?



Geovanne Tobias – CFO

That's what I mentioned. One of the reasons why institutional funding increased the cost was due to the domestic AT1s that we issued here. So, we have a plan that we are issuing throughout 2024 to be able to replace the ones that we will call in June, from the complementary capital, AT1.

We should expect stability in the Basel Index of CET1 of the main capital, and when I mentioned this complementary capital AT1 in June, due to the issue of domestic AT1s.

Nicholas Riva – Bank of America

Okay. Thank you very much, Geovanne.

Janaína Storti – Head of IR

When Nicholas asked his question, we only took Geovanne's answer, but I think it was very clear in the sense of bringing a level of comfort in the AT1 and what we've been doing in the local debt market. But the question of Nicholas was along that line, because I think that sound quality was not as good for those listening online.

Our next question, Natalia Corfield, JP Morgan.

Natália Corfield – JP Morgan

Good morning guys. Thanks for taking my question. It's also about capitation. I have some doubts about the movements that took place this quarter.

So, looking sequentially, there was a drop in your Tier 2, so I was wondering if this is related to the expiration of local Tier 2s. At the same time, there was an increase in your AT1, and I would like to know if it is also related to local emission. And, looking at your prudential adjustments, I am also noticing a large increase, it seems that, in deferred tax assets, an amount of R\$6.9 billion in the quarter compared to 4.7 in the previous quarter and with nothing in March 2023 .

And, also along these lines, one last question, there was a huge increase in operational risk and I was also wanting to know the reason for this. Thanks.

Janaína Storti – Head of IR

Natalia, if you can say it again, please, the final point. The audio is very distorted. We weren't able to understand.

Natália Corfield – JP Morgan



About operational risk that had great increases, 13.5% quarter on quarter and almost 24% year on year.

Geovanne Tobias – CFO

I'll start by answering, Prince adds. In fact, in our strategy to protect our capital, we foresee – and that's why there was an increase –, we have already been issuing, not only now, but in previous years, financial bills, which are categorized as AT1s here in domestic market, we have already made significant values, which have helped to reinforce our level 1. Ok?

And there is an issue there, we believe that generating profit allows me to incorporate this profit, so I have an organic generation of main capital to finance the expansion of my business. Now, of course, and this is already considering the payout of 45. Now, of course, looking ahead – and we also included this in the estimate –, when deciding to reset the coupon for my Tier 1 of 6 and repurchasing that other one of 8 that it was going to be repriced from June, so all of this was included in this account along with the issue of operational risk.

And then I would like to ask Prince to talk a little about his vision in relation to operational risk.

Felipe Prince – CRO

Perfect, Natalia. I think you were very insightful there, there really is this evolution and it is already due to the adaptation of the models to Basel III, phase II. You remember that we had stated that, after the publication of the standard by the Central Bank, we expected an impact on our capital of around 100 bps, this estimate today is already lower because we already consumed 0.23 in this RWA of first quarter of 24 and we expect to consume another 0.5 until the full implementation of the resolution.

So, I use a proxy, because what does the legislation indicate, the norm? That you even have a consolidated base of losses in the new model, you have a proxy for losses based on your business generation potential. As we have been fully exercising this business generation potential, this has an impact that consumes, but is beneficial because it comes from business, in operational risk until the proprietary model is fully implemented in 2028.

So, you will gradually observe this consumption over the quarters, but it should not exceed what has already been done plus 50 bps.

Janaína Storti – Head of IR

And, Natalia, just to add about the Tier 2 that you saw, this reduction it happens greatly due to the application of that cap that is a regulation for the FCO funds



that we have that have an impact on Tier 2, so that drops over the years and that's why you saw this movement along these lines.

Natália Corfield – JP Morgan

Very clear, thank you.

Janaína Storti – Head of IR

I said that we had two more questions, but I'm going to have to include a last question. Carlos Gomez from HSBC. Please, Carlos, go ahead.

Carlos Gomez – HSBC

Thanks. I wanted to ask about the topic of economic plans. We don't talk about this much, but 1 billion of costs is almost 100% of the profit before taxes. And it is always classified as non-recurring, but in reality, it has been there for a long time. I would like to know what is the prospect of continuing to make provisions, until when, and why does it continue to be non-recurring? Thanks.

Felipe Prince – CRO

Well, I can start here, Carlos. Firstly, because we have an agreement in force here in Brazil that allows the resolution of these controversies under the auspices of this agreement between FEBRABAN and the Federal Supreme Court. So, it is an agreement that was signed about 10 years ago, we have sought to encourage the signing of these agreements, that is, to extinguish the demands for this agreement to be carried out. This is valid until the end of 2025 and, as we know, this is a conflict related to financial investments that theoretically would have been impacted in the 90s due to the successive economic plans that we had here in Brazil.

Today we have a stabilized economy, it doesn't cross anyone's mind here that we're going to have this type of problem again. So, what we have been doing is making efforts to accelerate these agreements, which ended up becoming visible in the fourth quarter of 23, where you can see a relevant disbursement related to this topic, but, in practice, it is an item that will not happen more and will not affect Banco do Brasil's results in the future.

That's why we continue to treat it as extraordinary, so that you have a clearer visibility of what our banking operation is and not what we have here. It's a process inherited from the 90s, which we are committed to resolving, but it doesn't concern our core today.

Carlos Gomez – HSBC

Thank you very much. After 2025?

**Felipe Prince – CRO**

After 2025? Well, then the agreement is expected to be finalized in 2025, that's the deadline we have in the agreement. We are talking, both with the Judiciary and FEBRABAN, about whether a possible extension will be necessary. What do we work on in bank management? We work to ensure that there is no extension and that we have as many cases resolved by then.

In fact, as you have seen, in this quarter, the amounts disbursed have already reduced due to this greater volume of agreements that we have tried to implement. So, the administration's premise is for us to have this event ended in 2025, but, obviously, it doesn't just concern Banco do Brasil, it concerns the financial market as a whole and also the judiciary in our country.

Carlos Gomez – HSBC

Thank you very much.

Janaína Storti – Head of IR

Thank you, Carlos. Well, so now we are bringing our Q&A session to the end. I thank all of you for your participation, and now I will hand it over to Tarci.

Tarciana Medeiros – CEO

Thank you all for being with us once again, telling you that you can trust us because we will deliver our guidance within the indices we set out to deliver and telling you that, increasingly, we are building a strong, healthy bank, robust, with resilient results and adequate return.

So, we'll see you next time and thank you very much again.